Banks actually create **new** money every time they lend to customers or make investments. What? Yes, you read that right. When a bank makes a loan, it creates money by adding *new funds* to the borrower's account for the loan amount. The borrower can then use this money to make purchases or pay bills, effectively increasing the overall supply of money in the economy. We will see how next.

3.4.4 Class Exercise: Fractional Reserve Banking

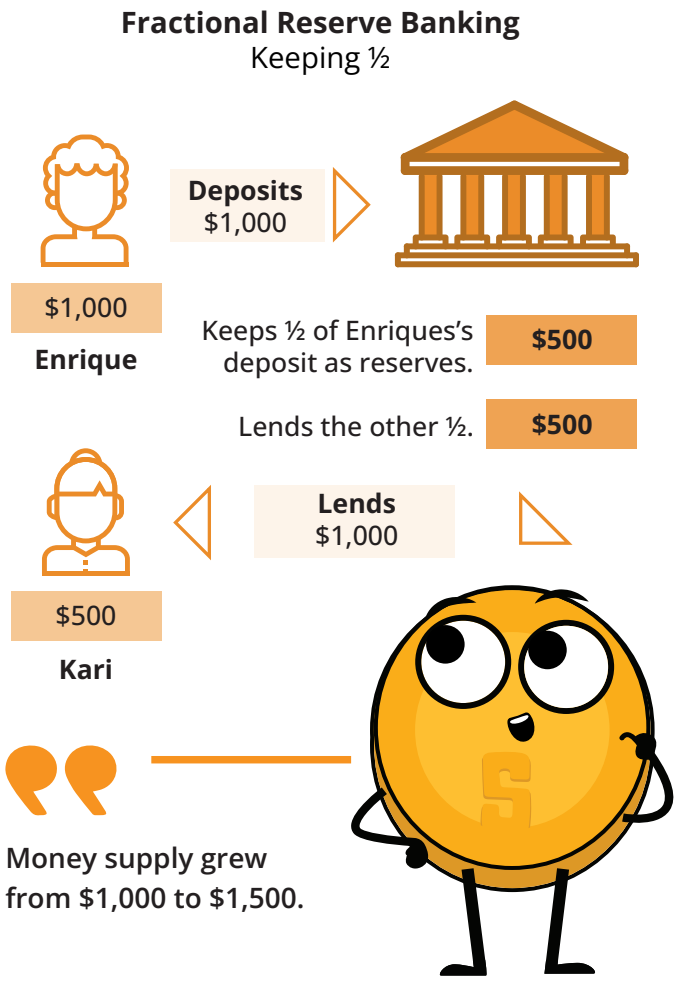
The process known as **fractional reserve banking** is where ***banks only hold a fraction of their deposits as reserves and lend out the rest.*** As long as they maintain a certain reserve ratio set by the central bank, banks can create more money than they have on hand. However, this ability to create new money can also carry the risk of excessive borrowing and financial instability if not managed carefully.

The **reserve ratio** is a rule that tells banks how much money they have to keep in their safe and how much they can lend out. It is **set by the central bank**, which is a special group of people in charge of making sure the economy is healthy.

In this activity, we will explore the concept of **fractional reserve banking** and how it can lead to the **debasement** of a currency; **inflation**; and a decrease in **purchasing power**.

- Let's say the total amount of money in the economy is $1000 and the reserve ratio is 50%. This means that for every $1000 in the economy, 50% of it must be kept in reserve by the bank.

- If Enrique deposits $1000 in the bank and later Kari comes to the bank for a loan, with the required ratio, the bank can keep half and lend half, so they would lend her $500. As a result, the total money supply would increase from $1000 to $1500.



The formula is: *Money Created = Total Amount of Money in the Economy ÷ Reserve Ratio*